# Q3 2025 Business Performance Report

Brightwave Software Solutions Ltd. | Prepared by the Finance and Strategy Team | Sample document

## Executive Summary

Brightwave Software Solutions delivered strong results in the third quarter of 2025, with total revenue of $4.8 million, up 18% from Q2 and 31% year over year. Net profit reached $620,000, reflecting improved operating margins driven by the launch of our subscription analytics product and reduced cloud infrastructure costs.

## Revenue by Segment

Subscription revenue grew to $2.9 million, now representing 60% of total revenue. Custom development projects contributed $1.4 million, a modest 4% increase, as several large clients delayed project kickoffs. Support and maintenance contracts added $500,000, remaining stable.

Customer count rose from 142 to 171 active accounts. Net revenue retention stood at 112%, indicating that existing customers are expanding their usage. Churn declined to 2.1% from 3.4% in the previous quarter, primarily due to the new onboarding program.

## Costs and Operations

Operating expenses totaled $3.9 million. Headcount increased from 38 to 44 employees, with new hires concentrated in engineering and customer success. Cloud spending decreased 12% following the migration to reserved instances and the retirement of unused staging environments.

Sales and marketing spend rose 22% to support the expansion into the European market, where we signed our first three enterprise customers in Germany and the Netherlands.

## Risks and Challenges

Key risks include dependence on two large clients that together account for 24% of revenue, rising salary pressure in the engineering market, and uncertainty around data-protection compliance requirements in new regions. Management has begun a diversification plan targeting mid-sized customers to reduce concentration risk.

Delays in custom development projects also present a forecasting challenge, since revenue recognition depends on client sign-off at project milestones.

## Outlook for Q4

We expect Q4 revenue between $5.2 and $5.5 million, supported by a strong sales pipeline and seasonal renewals. Priorities include launching the mobile companion app, hiring a compliance officer, and opening a small sales office in Amsterdam. The board will review a proposal to increase the product development budget by 15% in the 2026 planning cycle.